ServiceNow

Focus on weak CRPO guidance, but underlying trends remain solid

Reiterate Rating: BUY | PO: 180.00 USD | Price: 150.13 USD

AI shines but 4Q guidance dims the print

The quarter results were solid, but 4Q guidance missed expectations. 3Q cRPO growth of 21% cc was higher than Street's 19.7% and operating margins was 130bps above Street's 32.5%. Subscription revenue were roughly inline. Key positives are centered around the strong AI activity, with nnACV up 65% YoY, which prompted higher 2026 ACV guidance. However, the focal points were the 120bp and 40bp shortfall in 4Q in cRPO and subscription growth guidance, partially explained by accounting and timing. We don't fully subscribe to management explanation on the quarter weakness, yet remain constructive on the stock, as we see clear evidence of AI growth and view these fluctuations as growing hiccups. We revise our estimates to reflect guidance and reiterate our Buy and $180 PO.

Workflow expansion powers AI ACV growth

More agents and workflows are driving higher AI ACV, while production usage continues to increase assist (token) consumption. Net-new ACV grew 65% YoY, driven by broader agentic workflows and adoption across IT, security, CRM, HR, and asset management. Agentic AI consumption was up 13x YoY and management increased the FY26 AI ACV guidance from $1.5bn to $1.7bn QoQ, reflecting 70% uplift YTD. We expect enterprises to continue and expand beyond seat-based licenses and initial assists entitlements to consumption-based monetization and model revenues to grow 18.5% and 18.2% in the next two years, respectively.

Softer demand outlook, partially attributed to accounting

4Q cRPO growth guidance of 18.5% was roughly 120bps below Street's expectations and management noted that Federal and other terminate-for-convenience (T4C) contracts created a ~50bp headwind. Separately, subscription guidance was also weaker than expected, as some large AI contracts include deployment support, which are recognized ratably according to ASC606, also shifting ~50bps from subscription revenues into professional services in 4Q. However, even after adjusting for T4C and deployment services, the company's 4Q growth targets still fall short of consensus expectations. Nevertheless, we attributed the growth fluctuation to growing pains of a new AI business, and focus instead on the tangible evidence of solid AI trends.

Estimates (Dec) (US$)	2024A	2025A	2026E	2027E	2028E
EPS	2.78	3.50	4.03	4.98	6.00
GAAP EPS	1.37	1.67	1.15	1.09	2.63
EPS Change (YoY)	29.3%	25.9%	15.1%	23.6%	20.5%
Consensus EPS (Bloomberg)			4.07	5.00	6.05
Consensus EPS (Visible Alpha)			3.91	4.65	6.05
Valuation (Dec)					
P/E	54.0x	42.9x	37.3x	30.1x	25.0x
GAAP P/E	109.6x	89.9x	130.5x	137.7x	57.1x
EV / EBITDA*	41.6x	32.5x	24.6x	21.9x	18.8x
Free Cash Flow Yield*	2.2%	3.0%	3.8%	4.4%	5.4%

* For full definitions of iQmethod℠ measures, see page 7.

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Refer to important disclosures on page 8 to 10. Analyst Certification on page 6. Price Objective Basis/Risk on page 6. **13033991**

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29 October 2026

Equity

Key Changes

(US$)	Previous	Current
2026E Rev (m)	16,209.1	16,226.5
2027E Rev (m)	19,213.5	19,224.9
2028E Rev (m)	22,766.7	22,723.4
2026E EPS	4.17	4.03
2027E EPS	5.04	4.98
2028E EPS	6.09	6.00

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Stock Data

Price	150.13 USD
Price Objective	180.00 USD
Date Established	23-Oct-2026
Investment Opinion	C-1-9
52-Week Range	81.24 USD - 192.97 USD
Mrkt Val (mn) / Shares Out (mn)	155,234 USD / 1,034.0
Free Float	99.8%
Average Daily Value (mn)	1820.04 USD
BofA Ticker / Exchange	NOW / NYS
Bloomberg / Reuters	NOW US / NOW.N
ROE (2026E)	31.1%
Net Dbt to Eqty (Dec-2025A)	-28.7%

iQprofile℠ ServiceNow

iQmethod℠ **– Bus Performance***

(US$ Millions)	2024A	2025A	2026E	2027E	2028E
Return on Capital Employed	26.7%	26.6%	22.5%	21.3%	21.6%
Return on Equity	33.7%	32.5%	31.1%	33.1%	31.3%
Operating Margin	29.6%	31.2%	31.5%	32.4%	33.4%
Free Cash Flow	3,455	4,637	5,840	6,902	8,373

iQmethod℠ **– Quality of Earnings***

(US$ Millions)	2024A	2025A	2026E	2027E	2028E
Cash Realization Ratio	1.5x	1.5x	1.5x	1.4x	1.4x
Asset Replacement Ratio	1.5x	1.2x	0.4x	0.6x	0.8x
Tax Rate	20.0%	20.0%	21.0%	20.7%	20.5%
Net Debt-to-Equity Ratio	-24.0%	-28.7%	17.4%	-25.6%	-56.3%
Interest Cover	NA	NA	NA	NA	NA

Income Statement Data (Dec)

(US$ Millions)	2024A	2025A	2026E	2027E	2028E
Sales	10,984	13,278	16,227	19,225	22,723
% Change	22.4%	20.9%	22.2%	18.5%	18.2%
Gross Profit	9,077	10,761	12,727	15,145	17,777
% Change	23.0%	18.6%	18.3%	19.0%	17.4%
EBITDA	3,818	4,887	6,468	7,241	8,447
% Change	25.1%	28.0%	32.3%	12.0%	16.7%
Net Interest & Other Income	374	437	186	320	372
Net Income (Adjusted)	**2,902**	**3,669**	**4,179**	**5,196**	**6,327**
% Change	**31.0%**	**26.4%**	**13.9%**	**24.3%**	**21.8%**

Free Cash Flow Data (Dec)

(US$ Millions)	2024A	2025A	2026E	2027E	2028E
Net Income from Cont Operations (GAAP)	1,425	1,749	1,198	1,140	2,771
Depreciation & Amortization	564	738	1,362	1,007	862
Change in Working Capital	(65)	29	541	2,828	2,925
Deferred Taxation Charge	NA	NA	NA	NA	NA
Other Adjustments, Net	2,383	2,989	3,255	2,532	2,532
Capital Expenditure	(852)	(868)	(515)	(604)	(716)
Free Cash Flow	**3,455**	**4,637**	**5,840**	**6,902**	**8,373**
% Change	**27.8%**	**34.2%**	**26.0%**	**18.2%**	**21.3%**
Share / Issue Repurchase	(696)	(1,840)	(2,225)	0	0
Cost of Dividends Paid	0	0	0	0	0
Change in Debt	0	0	0	0	0

Balance Sheet Data (Dec)

(US$ Millions)	2024A	2025A	2026E	2027E	2028E
Cash & Equivalents	2,304	3,726	5,112	12,014	20,387
Trade Receivables	2,240	2,627	2,391	1,980	1,997
Other Current Assets	4,643	4,118	4,048	3,934	3,924
Property, Plant & Equipment	1,763	2,289	2,007	1,605	1,460
Other Non-Current Assets	9,433	13,278	21,296	21,517	21,648
Total Assets	**20,383**	**26,038**	**34,854**	**41,049**	**49,415**
Short-Term Debt	0	0	2,086	2,086	2,086
Other Current Liabilities	8,358	10,443	12,283	14,223	17,055
Long-Term Debt	0	0	5,438	5,438	5,438
Other Non-Current Liabilities	2,416	2,631	1,165	1,748	1,979
Total Liabilities	**10,774**	**13,074**	**20,972**	**23,495**	**26,558**
Total Equity	**9,609**	**12,964**	**13,882**	**17,554**	**22,857**
Total Equity & Liabilities	**20,383**	**26,038**	**34,854**	**41,049**	**49,415**

* For full definitions of *iQ*method℠ measures, see page 7.

Company Sector

Software

Company Description

ServiceNow develops and sells a hosted, subscription based suite of services designed to automate various IT department functions, such as help desk, operations management and change/release management. The company also sells a number of applications which automate various self service related applications outside of the IT department, such as HR onboarding, facilities requests and governance, risk and compliance.

Investment Rationale

We believe ServiceNow is well positioned to continue gaining share of the TAM across ITSM, ITOM, and unstructured workflows (Employee and Customer) given a number of key competitive advantages, including 1) a unified platform and single code base, 2) breadth of offering, 3) growing SI partner channel, 4) ease of implementation, and 5) a referenceable install base of key enterprises, 6) deep understanding of enterprise workflows, enabling governed, secure, and auditable deployment of AI agents.

Stock Data

Average Daily Volume	12,123,070

Quarterly Earnings Estimates

	2025	2026
Q1	0.81A	0.97A
Q2	0.82A	0.90A
Q3	0.96A	1.00A
Q4	0.92A	1.16E

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3Q26 Financial Highlights

Exhibit 1: Actuals came in above expectations for 3Q26 but 4Q guidance missed expectations
Actual versus Estimated Results

ServiceNow Actual Versus Estimated Results	Year Ago				Actual	Estimated	Delta	QoQ	YoY
	3Q25	4Q25	1Q26	2Q26	3Q26	3Q26			
Remaining Performance Obligations (RPO)	**24,300.0**	**28,200.0**	**27,700.0**	**29,000.0**	**29,700.0**	**29,551.0**	**149.0**	**2.4%**	**22.2%**
QoQ	1.7%	16.0%	-1.8%	4.7%	2.4%	1.9%			
YoY	24.6%	26.6%	25.3%	21.3%	22.2%	21.6%			
YoY (CC)	23.0%	22.5%	23.5%	22.0%	22.5%	0.0%			
Current Remaining Performance Obligation (cRPO)	**11,350.0**	**12,850.0**	**12,640.0**	**13,200.0**	**13,650.0**	**13,567.7**	**82.3**	**3.4%**	**20.3%**
QoQ	3.9%	13.2%	-1.6%	4.4%	3.4%	2.8%			
YoY	21.3%	25.1%	22.6%	20.9%	20.3%	19.5%			
YoY (CC)	21.0%	21.0%	21.0%	21.5%	21.0%	20.0%			
Subscription Revenue	**3,299.0**	**3,466.0**	**3,671.0**	**3,877.0**	**3,988.0**	**3,977.5**	**10.5**	**2.9%**	**20.9%**
QoQ	6.0%	5.1%	5.9%	5.6%	2.9%	2.6%			
YoY	21.5%	20.9%	22.2%	24.5%	20.9%	20.6%			
YoY (CC)	20.5%	19.5%	19.0%	23.0%	20.5%	0.0%			
Professional Services and Other Revenue	**108.0**	**102.0**	**99.0**	**110.0**	**118.0**	**114.4**	**3.6**	**7.3%**	**9.3%**
QoQ	5.9%	-5.6%	-2.9%	11.1%	7.3%	4.0%			
YoY	31.7%	12.1%	19.3%	7.8%	9.3%	5.9%			
YoY (CC)	29.5%	11.0%	15.5%	7.0%	9.0%	0.0%			
Total Revenue	**3,407.0**	**3,568.0**	**3,770.0**	**3,987.0**	**4,106.0**	**4,091.9**	**14.1**	**3.0%**	**20.5%**
QoQ	6.0%	4.7%	5.7%	5.8%	3.0%	2.6%			
YoY	21.8%	20.7%	22.1%	24.0%	20.5%	20.1%			
YoY (CC)	20.5%	19.5%	19.0%	22.5%	20.0%	0.0%			
Cost of Subscription	**554.0**	**599.0**	**674.0**	**754.0**	**790.0**	**747.8**	**42.2**	**4.8%**	**42.6%**
Cost of Professional Services and Other	**97.0**	**104.0**	**108.0**	**126.0**	**141.0**	**107.5**	**33.5**	**11.9%**	**45.4%**
Total Cost of Goods Sold	**651.0**	**703.0**	**782.0**	**880.0**	**931.0**	**855.3**	**75.7**	**5.8%**	**43.0%**
Gross Profit	**2,756.0**	**2,865.0**	**2,988.0**	**3,107.0**	**3,175.0**	**3,236.6**	**-61.6**	**2.2%**	**15.2%**
Gross Margin	**80.9%**	**80.3%**	**79.3%**	**77.9%**	**77.3%**	**79.1%**	**-1.8%**	**-60bps**	**-356bps**
S&M	898.0	997.0	1,041.0	1,116.0	1,011.0	1,138.3	-127.3	-9.4%	12.6%
R&D	543.0	558.0	582.0	612.0	664.0	618.1	45.9	8.5%	22.3%
G&A	175.0	209.0	166.0	206.0	162.0	208.1	-46.1	-21.4%	-7.4%
Total Operating Expenses	**1,616.0**	**1,764.0**	**1,789.0**	**1,934.0**	**1,837.0**	**1,964.5**	**-127.5**	**-5.0%**	**13.7%**
Operating Income	**1,140.0**	**1,101.0**	**1,199.0**	**1,173.0**	**1,338.0**	**1,272.1**	**65.9**	**14.1%**	**17.4%**
QoQ	19.4%	-3.4%	8.9%	-2.2%	14.1%	8.4%			
YoY	30.9%	26.3%	25.8%	22.8%	17.4%	11.6%			
Operating Margin	**33.5%**	**30.9%**	**31.8%**	**29.4%**	**32.6%**	**31.1%**	**1.5%**	**316bps**	**-87bps**
Interest and other income (expense), net	230.0	210.0	176.0	140.0	138.0	220.0	-82.0	-1.4%	-40.0%
Pre-Tax Income	1,262.0	1,199.0	1,282.0	1,176.0	1,316.0	1,407.1	-91.1	11.9%	4.3%
Income Taxes	252.0	240.0	270.0	246.0	277.0	281.4	-4.4	12.6%	9.9%
Net Income	**1,010.0**	**959.0**	**1,012.0**	**930.0**	**1,039.0**	**1,125.7**	-86.7	11.7%	2.9%
EPS	**$ 0.96**	**$ 0.92**	**$ 0.97**	**$ 0.90**	**$ 1.00**	**$1.07**	$ (0.08)	10.8%	3.3%
YoY	29.7%	24.7%	20.4%	10.2%	3.3%	11.2%			

Source: BofA Global Research estimates, company report

BofA GLOBAL RESEARCH

Exhibit 2: Summary of Model Changes
We fine-tune our estimates to reflect guidance

	Sales			Gross Margin			Operating Margin			EPS			Free Cash Flow		
	Old	New	Change	Old	New	Change	Old	New	Change	Old	New	Change	Old	New	Change
FY26															
1Q26	$3,770.0	$3,770.0	$0.0	79.3%	79.3%	0 bps	31.8%	31.8%	0 bps	$0.97	$0.97	$0.00	$1,665.1	$1,665.1	$0.00
2Q26	$3,987.0	$3,987.0	$0.0	77.9%	77.9%	0 bps	29.4%	29.4%	0 bps	$0.90	$0.90	$0.00	$634.0	$634.0	$0.00
3Q26	$4,091.9	$4,106.0	$14.1	79.1%	77.3%	-177 bps	31.1%	32.6%	149 bps	$1.07	$1.00	-$0.08	$853.3	$822.1	-$31.17
4Q26	$4,360.2	$4,363.5	$3.4	79.1%	79.2%	8 bps	33.4%	32.0%	-143 bps	$1.22	$1.16	-$0.06	$2,534.0	$2,719.0	$185.01
Total	**$16,209.1**	**$16,226.5**	**$17.5**	**78.9%**	**78.4%**	**-42 bps**	**31.5%**	**31.5%**	**0 bps**	**$4.17**	**$4.03**	**-$0.14**	**$5,686.4**	**$5,840.3**	**$153.84**
FY27															
1Q27	$4,501.2	$4,501.7	$0.5	79.5%	78.9%	-59 bps	32.4%	32.2%	-20 bps	$1.19	$1.17	-$0.02	$1,813.7	$1,842.0	$28.24
2Q27	$4,727.8	$4,707.5	-$20.3	79.5%	78.6%	-87 bps	30.0%	30.8%	79 bps	$1.14	$1.17	$0.02	$877.8	$869.8	-$8.02
3Q27	$4,849.5	$4,854.4	$4.9	79.6%	78.8%	-75 bps	33.4%	32.7%	-66 bps	$1.31	$1.25	-$0.06	$1,068.1	$1,139.0	$70.96
4Q27	$5,135.0	$5,161.3	$26.3	79.6%	78.8%	-81 bps	34.1%	33.9%	-23 bps	$1.40	$1.39	$0.00	$3,123.8	$3,051.5	-$72.23
Total	**$19,213.5**	**$19,224.9**	**$11.4**	**79.5%**	**78.8%**	**-76 bps**	**32.5%**	**32.4%**	**-8 bps**	**$5.04**	**$4.98**	**-$0.06**	**$6,883.4**	**$6,902.4**	**$18.95**
FY28															
1Q28	$5,350.8	$5,332.9	-$17.9	79.4%	78.4%	-103 bps	33.8%	33.3%	-52 bps	$1.45	$1.40	-$0.05	$2,328.0	$2,189.8	-$138.20
2Q28	$5,603.3	$5,569.8	-$33.4	79.4%	78.0%	-136 bps	30.4%	31.8%	135 bps	$1.37	$1.40	$0.03	$989.0	$1,011.4	$22.45
3Q28	$5,747.8	$5,747.6	-$0.3	79.5%	78.1%	-142 bps	34.2%	33.5%	-62 bps	$1.58	$1.53	-$0.05	$1,283.9	$1,484.8	$200.96
4Q28	$6,064.8	$6,073.1	$8.3	79.9%	78.4%	-146 bps	35.3%	34.8%	-53 bps	$1.69	$1.67	-$0.02	$3,731.1	$3,687.1	-$44.05
Total	**$22,766.7**	**$22,723.4**	**-$43.3**	**79.6%**	**78.2%**	**-132 bps**	**33.5%**	**33.4%**	**-8 bps**	**$6.09**	**$6.00**	**-$0.09**	**$8,331.9**	**$8,373.1**	**$41.16**

Source: BofA Global Research estimates, company report

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Exhibit 3: Updated summary of key financials

Income Statement

Income Statement	1Q26	2Q26	3Q26	4Q26	1Q27	2Q27	3Q27	4Q27	1Q28	2Q28	3Q28	4Q28	FY26	FY27	FY28
Remaining Performance Obligation	27,700.0	29,000.0	29,700.0	33,709.5	32,971.1	34,520.7	35,383.7	39,842.1	38,567.2	40,379.8	41,591.2	46,499.0	33,709.5	39,842.1	46,499.0
YoY Growth (%)	*25.3%*	*21.3%*	*22.2%*	*19.5%*	*19.0%*	*19.0%*	*19.1%*	*18.2%*	*17.0%*	*17.0%*	*17.5%*	*16.7%*	*19.5%*	*18.2%*	*16.7%*
Current Remaining Performance Obligation	12,640.0	13,200.0	13,650.0	15,230.0	14,952.4	15,513.6	16,046.5	17,869.2	17,528.8	18,130.5	18,799.2	20,831.5	15,230.0	17,869.2	20,831.5
YoY Growth (%)	*22.6%*	*20.9%*	*20.3%*	*18.5%*	*18.3%*	*17.5%*	*17.6%*	*17.3%*	*17.2%*	*16.9%*	*17.2%*	*16.6%*	*18.5%*	*17.3%*	*16.6%*
Subscription Revenue	3,671.0	3,877.0	3,988.0	4,251.2	4,370.2	4,566.9	4,703.9	5,000.3	5,170.3	5,392.6	5,554.4	5,887.6	15,787.2	18,641.3	22,004.8
Professional services and other Revenue	99.0	110.0	118.0	112.3	131.4	140.6	150.5	161.0	162.6	177.3	193.2	185.5	439.3	583.6	718.6
Total Revenue	**3,770.0**	**3,987.0**	**4,106.0**	**4,363.5**	**4,501.7**	**4,707.5**	**4,854.4**	**5,161.3**	**5,332.9**	**5,569.8**	**5,747.6**	**6,073.1**	**16,226.5**	**19,224.9**	**22,723.4**
YoY Growth (%)	*22.1%*	*24.0%*	*20.5%*	*22.3%*	*19.4%*	*18.1%*	*18.2%*	*18.3%*	*18.5%*	*18.3%*	*18.4%*	*17.7%*	*22.2%*	*18.5%*	*18.2%*
Total Cost of Goods Sold	**782.0**	**880.0**	**931.0**	**906.6**	**950.9**	**1,006.0**	**1,028.8**	**1,094.6**	**1,153.4**	**1,224.2**	**1,257.7**	**1,310.9**	**3,499.6**	**4,080.3**	**4,946.2**
Gross Profit	**2,988.0**	**3,107.0**	**3,175.0**	**3,456.9**	**3,550.7**	**3,701.6**	**3,825.6**	**4,066.7**	**4,179.4**	**4,345.7**	**4,489.9**	**4,762.2**	**12,726.9**	**15,144.6**	**17,777.2**
Gross Margin	**79.3%**	**77.9%**	**77.3%**	**79.2%**	**78.9%**	**78.6%**	**78.8%**	**78.8%**	**78.4%**	**78.0%**	**78.1%**	**78.4%**	**78.4%**	**78.8%**	**78.2%**
S&M Expenses	1,041.0	1,116.0	1,011.0	1,152.5	1,187.1	1,294.0	1,287.5	1,339.0	1,419.3	1,532.9	1,563.5	1,610.4	4,320.5	5,107.5	6,126.2
R&D Expenses	582.0	612.0	664.0	730.4	737.7	774.6	763.0	793.5	813.3	862.1	819.0	839.5	2,588.4	3,068.8	3,333.9
G&A Expenses	166.0	206.0	162.0	178.2	176.4	185.2	187.1	185.2	172.5	181.1	179.3	199.2	712.2	734.0	732.0
Total Operating Expenses	**1,789.0**	**1,934.0**	**1,837.0**	**2,061.1**	**2,101.2**	**2,253.8**	**2,237.5**	**2,317.7**	**2,405.1**	**2,576.1**	**2,561.8**	**2,649.0**	**7,621.1**	**8,910.3**	**10,192.1**
Operating Income	**1,199.0**	**1,173.0**	**1,338.0**	**1,395.8**	**1,449.5**	**1,447.8**	**1,588.0**	**1,749.0**	**1,774.3**	**1,769.6**	**1,928.0**	**2,113.1**	**5,105.8**	**6,234.3**	**7,585.1**
Operating Margin	**31.8%**	**29.4%**	**32.6%**	**32.0%**	**32.2%**	**30.8%**	**32.7%**	**33.9%**	**33.3%**	**31.8%**	**33.5%**	**34.8%**	**31.5%**	**32.4%**	**33.4%**
Interest and other income	88.0	70.0	69.0	115.0	100.0	105.0	100.0	105.0	85.0	115.0	120.0	120.0	342.0	410.0	440.0
Interest and other (expense)	(5.0)	(67.0)	(91.0)	7.0	(5.0)	(15.0)	(50.0)	(20.0)	(20.0)	(20.0)	(30.0)	2.0	(156.0)	(90.0)	(68.0)
Income (loss) before provision for income taxes	1,282.0	1,176.0	1,316.0	1,517.8	1,544.5	1,537.8	1,638.0	1,834.0	1,839.3	1,864.6	2,018.0	2,235.1	5,291.8	6,554.3	7,957.1
Provision for income taxes	270.0	246.0	277.0	319.5	325.1	321.4	335.8	376.0	367.9	389.7	403.6	467.1	1,112.5	1,358.3	1,628.3
Net Income	**1,012.0**	**930.0**	**1,039.0**	**1,198.3**	**1,219.4**	**1,216.4**	**1,302.2**	**1,458.0**	**1,471.5**	**1,474.9**	**1,614.4**	**1,768.0**	**4,179.3**	**5,196.0**	**6,328.8**
Non-GAAP EPS, Diluted	**$ 0.97**	**$ 0.90**	**$ 1.00**	**$ 1.16**	**$ 1.17**	**$ 1.17**	**$ 1.25**	**$ 1.39**	**$ 1.40**	**$ 1.40**	**$ 1.53**	**$ 1.67**	**$ 4.03**	**$ 4.98**	**$ 6.00**
Diluted Shares Outstanding	1,040	1,034	1,043	1,035	1,041	1,043	1,045	1,046	1,050	1,053	1,057	1,059	1,038	1,044	1,055
Margin Analysis															
Gross Margin	79.3%	77.9%	77.3%	79.2%	78.9%	78.6%	78.8%	78.8%	78.4%	78.0%	78.1%	78.4%	78.4%	78.8%	78.2%
Operating Margin	31.8%	29.4%	32.6%	32.0%	32.2%	30.8%	32.7%	33.9%	33.3%	31.8%	33.5%	34.8%	31.5%	32.4%	33.4%
Net Margin	26.8%	23.3%	25.3%	27.5%	27.1%	25.8%	26.8%	28.2%	27.6%	26.5%	28.1%	29.1%	0.0%	0.0%	0.0%
Tax Rate	21.1%	20.9%	21.0%	21.0%	21.0%	20.9%	20.5%	20.5%	20.0%	20.9%	20.0%	20.9%	0.0%	0.0%	0.0%
YoY Growth															
Total Revenues	22.1%	24.0%	20.5%	22.3%	19.4%	18.1%	18.2%	18.3%	18.5%	18.3%	18.4%	17.7%	22.2%	18.5%	18.2%
Gross Profit	41.7%	44.0%	43.0%	29.0%	21.6%	14.3%	10.5%	20.7%	21.3%	21.7%	22.2%	19.8%	39.0%	16.6%	21.2%
Total Operating Expenses	13.0%	17.3%	13.7%	16.8%	17.5%	16.5%	21.8%	12.4%	14.5%	14.3%	14.5%	14.3%	15.3%	16.9%	14.4%
Operating Income	25.8%	22.8%	17.4%	26.8%	20.9%	23.4%	18.7%	25.3%	22.4%	22.2%	21.4%	20.8%	23.1%	22.1%	21.7%
Net Income	19.6%	8.9%	2.9%	25.0%	20.5%	30.8%	25.3%	21.7%	20.7%	21.3%	24.0%	21.3%	13.9%	24.3%	21.8%
EPS	20.4%	10.2%	3.3%	26.4%	20.4%	29.7%	25.2%	20.4%	19.7%	20.0%	22.6%	19.8%	14.9%	23.7%	20.5%
QoQ Growth															
Total Revenues	5.7%	5.8%	3.0%	6.3%	3.2%	4.6%	3.1%	6.3%	3.3%	4.4%	3.2%	5.7%			
Gross Profit	11.2%	12.5%	5.8%	-2.6%	4.9%	5.8%	2.3%	6.4%	5.4%	6.1%	2.7%	4.2%			
Total Operating Expenses	1.4%	8.1%	-5.0%	12.2%	1.9%	7.3%	-0.7%	3.6%	3.8%	7.1%	-0.6%	3.4%			
Operating Income	8.9%	-2.2%	14.1%	4.3%	3.8%	-0.1%	9.7%	10.1%	1.4%	-0.3%	9.0%	9.6%			
Net Income	5.5%	-8.1%	11.7%	15.3%	1.8%	-0.2%	7.1%	12.0%	0.9%	0.2%	9.5%	9.5%			
EPS	6.2%	-7.6%	10.8%	16.2%	1.2%	-0.4%	6.9%	11.8%	0.6%	-0.1%	9.1%	9.3%			

Source: BofA Global Research estimates, company report

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Glossary

ACV: annual contract value

nnACV: net-net annual contract value

AI: artificial intelligence

CMBD: Configuration Management Database

cRPO: current remaining performance obligations

RPO: remaining performance obligations

OM: operating margin

FCF: free cash flows

SKU: stock keeping unit

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Price objective basis & risk

ServiceNow (NOW)
Our PO of $180 is based on a 27x CY27E FCF multiple, above the large cap software group trading at 10-20x, for superior revenue growth levels and FCF margins.

Downside risks to our PO are as follows: 1) ServiceNow shares currently trade at a premium versus its large cap software peer group, and we recognize the risk of a potential pullback in the event of changes to market sentiment or a disappointing bookings quarter. 2) Inability to maintain key product advantages may slow share gains, and large established competitors in the space may pose threats to ServiceNow's goal of continuing to capture market share by competing on price. 3) Application spending is highly cyclical, which could present a higher degree of risk for a bookings deceleration for ServiceNow and other application vendors in the event of an economic slowdown. 4) Increased AI adoption could pressure the traditional SaaS model through higher compute costs, changes in pricing constructs, or customer expectations around AI functionality being bundled rather than monetized separately.

Analyst Certification

I, Tal Liani, hereby certify that the views expressed in this research report accurately reflect my personal views about the subject securities and issuers. I also certify that no part of my compensation was, is, or will be, directly or indirectly, related to the specific recommendations or view expressed in this research report.

US - Networking and Software Coverage Cluster

Investment rating	Company	BofA Ticker	Bloomberg symbol	Analyst
BUY				
	Akamai	AKAM	AKAM US	Tal Liani
	Amdocs	DOX	DOX US	Tal Liani
	Arista Networks	ANET	ANET US	Tal Liani
	Asana	ASAN	ASAN US	Matt Bullock
	Atlassian Corp	TEAM	TEAM US	Koji Ikeda, CFA
	Autodesk	ADSK	ADSK US	Tomer Zilberman
	Bentley Systems	BSY	BSY US	Tomer Zilberman
	Box Inc	BOX	BOX US	Matt Bullock
	Ciena	CIEN	CIEN US	Tal Liani
	Cisco Systems	CSCO	CSCO US	Tal Liani
	Cloudflare	NET	NET US	Tal Liani
	Coreweave	CRWV	CRWV US	Tal Liani
	Datadog Inc	DDOG	DDOG US	Koji Ikeda, CFA
	Dynatrace	DT	DT US	Koji Ikeda, CFA
	Extreme Networks, Inc.	EXTR	EXTR US	Tomer Zilberman
	Figma	FIG	FIG US	Tal Liani
	Fortinet	FTNT	FTNT US	Tal Liani
	Global-e Online Ltd.	GLBE	GLBE US	Matt Bullock
	Hinge Health, Inc.	HNGE	HNGE US	Tomer Zilberman
	JFrog Ltd	FROG	FROG US	Koji Ikeda, CFA
	Microsoft Corporation	MSFT	MSFT US	Tal Liani
	MongoDB Inc	MDB	MDB US	Koji Ikeda, CFA
	Motorola Solutions	MSI	MSI US	Tomer Zilberman
	Nebius Group N.V.	NBIS	NBIS US	Tal Liani
	Oracle Corporation	ORCL	ORCL US	Tal Liani
	Palo Alto Networks	PANW	PANW US	Tal Liani
	Paylocity	PCTY	PCTY US	Tomer Zilberman
	Salesforce Inc	CRM	CRM US	Tal Liani
	Samsara	IOT	IOT US	Matt Bullock
	SentinelOne, Inc.	S	S US	Tal Liani
	ServiceNow	NOW	NOW US	Tal Liani
	Shopify, Inc.	SHOP	SHOP US	Tal Liani
	Snowflake	SNOW	SNOW US	Koji Ikeda, CFA

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US - Networking and Software Coverage Cluster

Investment rating	Company	BofA Ticker	Bloomberg symbol	Analyst
	Twilio	TWLO	TWLO US	Koji Ikeda, CFA
	Zeta Global	ZETA	ZETA US	Matt Bullock
	Zoom Communications	ZM	ZM US	Matt Bullock
	Zscaler	ZS	ZS US	Tal Liani
NEUTRAL				
	Amplitude, Inc.	AMPL	AMPL US	Koji Ikeda, CFA
	Bandwidth Inc	BAND	BAND US	Koji Ikeda, CFA
	Check Point Software Technologies	CHKP	CHKP US	Tal Liani
	CrowdStrike Holdings Inc.	CRWD	CRWD US	Tal Liani
	Elastic NV	ESTC	ESTC US	Koji Ikeda, CFA
	GitLab Inc.	GTLB	GTLB US	Koji Ikeda, CFA
	Intuit	INTU	INTU US	Tal Liani
	Monday.com	MNDY	MNDY US	Matt Bullock
	Okta Inc	OKTA	OKTA US	Tal Liani
	SailPoint	SAIL	SAIL US	Tal Liani
	Workday Inc.	WDAY	WDAY US	Tal Liani
UNDERPERFORM				
	Adobe	ADBE	ADBE US	Tal Liani
	BlackLine, Inc.	BL	BL US	Tomer Zilberman
	C3.ai	AI	AI US	Koji Ikeda, CFA
	Coveo	YCVO	CVO CN	Koji Ikeda, CFA
	Docusign Inc	DOCU	DOCU US	Matt Bullock
	Dropbox	DBX	DBX US	Matt Bullock
	F5 Inc	FFIV	FFIV US	Tal Liani
	Fastly	FSLY	FSLY US	Tal Liani
	HubSpot, Inc.	HUBS	HUBS US	Matt Bullock
	Lightspeed Commerce Inc.	LSPD	LSPD US	Matt Bullock
	Lightspeed Commerce Inc.	YLSPD	LSPD CN	Matt Bullock
	PagerDuty	PD	PD US	Koji Ikeda, CFA
	Paycom	PAYC	PAYC US	Tomer Zilberman
	UiPath	PATH	PATH US	Koji Ikeda, CFA
	ZoomInfo	GTM	GTM US	Matt Bullock

iQmethod℠ Measures Definitions

Business Performance	Numerator	Denominator
Return On Capital Employed	NOPAT = (EBIT + Interest Income) × (1 − Tax Rate) + Goodwill Amortization	Total Assets − Current Liabilities + ST Debt + Accumulated Goodwill Amortization
Return On Equity	Net Income	Shareholders' Equity
Operating Margin	Operating Profit	Sales
Earnings Growth	Expected 5 Year CAGR From Latest Actual	N/A
Free Cash Flow	Cash Flow From Operations − Total Capex	N/A
Quality of Earnings	**Numerator**	**Denominator**
Cash Realization Ratio	Cash Flow From Operations	Net Income
Asset Replacement Ratio	Capex	Depreciation
Tax Rate	Tax Charge	Pre-Tax Income
Net Debt-To-Equity Ratio	Net Debt = Total Debt − Cash & Equivalents	Total Equity
Interest Cover	EBIT	Interest Expense
Valuation Toolkit	**Numerator**	**Denominator**
Price / Earnings Ratio	Current Share Price	Diluted Earnings Per Share (Basis As Specified)
Price / Book Value	Current Share Price	Shareholders' Equity / Current Basic Shares
Dividend Yield	Annualised Declared Cash Dividend	Current Share Price
Free Cash Flow Yield	Cash Flow From Operations − Total Capex	Market Cap = Current Share Price × Current Basic Shares
Enterprise Value / Sales	EV = Current Share Price × Current Shares + Minority Equity + Net Debt + Other LT Liabilities	Sales
EV / EBITDA	Enterprise Value	Basic EBIT + Depreciation + Amortization

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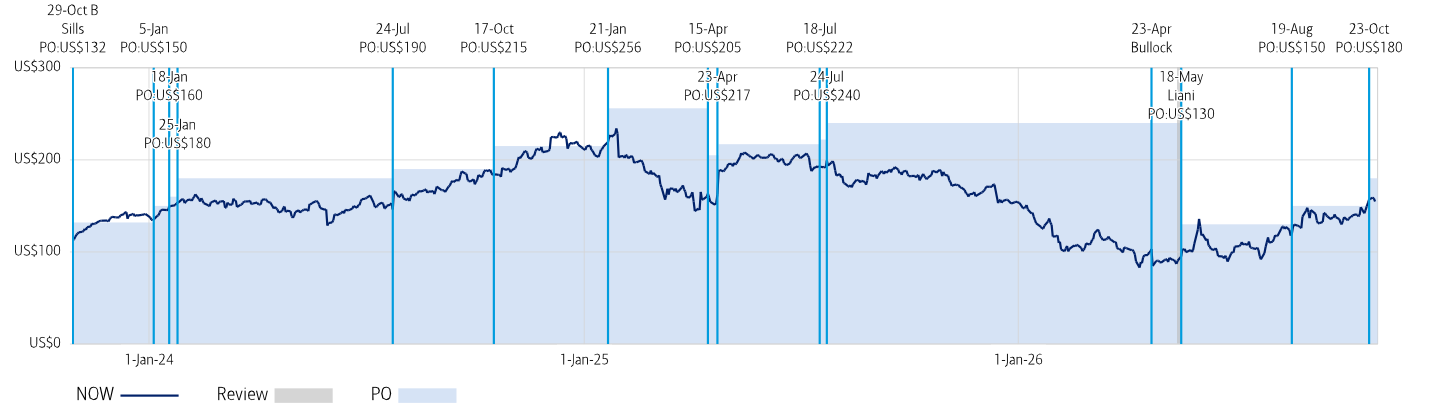
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Disclosures

Important Disclosures

ServiceNow (NOW) Price Chart



B: Buy, N: Neutral, U: Underperform, PO: Price Objective, NA: No longer valid, NR: No Rating

The Investment Opinion System is contained at the end of the report under the heading "Fundamental Equity Opinion Key". Dark grey shading indicates the security is restricted with the opinion suspended. Medium grey shading indicates the security is under review with the opinion withdrawn. Light grey shading indicates the security is not covered. Chart is current as of a date no more than one trading day prior to the date of the report.

Equity Investment Rating Distribution: Technology Group (as of 30 Sep 2026)

Coverage Universe	Count	Percent	Inv. Banking Relationships [R1]	Count	Percent
Buy	255	62.04%	Buy	157	61.57%
Hold	82	19.95%	Hold	46	56.10%
Sell	74	18.00%	Sell	31	41.89%

Equity Investment Rating Distribution: Global Group (as of 30 Sep 2026)

Coverage Universe	Count	Percent	Inv. Banking Relationships [R1]	Count	Percent
Buy	2057	57.03%	Buy	1386	67.38%
Hold	806	22.35%	Hold	563	69.85%
Sell	744	20.63%	Sell	446	59.95%

[R1] Issuers that were investment banking clients of BofA Securities or one of its affiliates within the past 12 months. For purposes of this Investment Rating Distribution, the coverage universe includes only stocks. A stock rated Neutral is included as a Hold, and a stock rated Underperform is included as a Sell.

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Investment rating	Total return expectation (within 12-month period of date of initial rating)	Ratings dispersion guidelines for coverage cluster[R2]
Buy	≥ 10%	≤ 70%
Neutral	≥ 0%	≤ 30%
Underperform	N/A	≥ 20%

[R2] Ratings dispersions may vary from time to time where BofA Global Research believes it better reflects the investment prospects of stocks in a Coverage Cluster.

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